

Credit Memo - UnitedHealth Group Incorporated

TO: Credit Committee, Commercial Lending Division

FROM: Healthcare and Insurance Lending Team

DATE: May 2026

RE: Credit Assessment - UnitedHealth Group Incorporated - Proposed Revolving Credit Facility Expansion

CC: Risk Management Division

Executive Summary

This memorandum presents a credit assessment of UnitedHealth Group Incorporated (NYSE: UNH) for the proposed expansion of its revolving credit facility. The analysis covers the company's financial performance for the full fiscal year 2025 and the first quarter of fiscal year 2026, with attention to observable quarterly trends across key income statement and balance sheet metrics.

Based on our analysis of UnitedHealth Group's significant scale with FY 2025 revenues of \$447.6 billion, its strong liquidity position, and improving profitability metrics in Q1 2026, we recommend APPROVE WITH CONDITIONS for the proposed credit facility expansion. The company's dominant market position in the healthcare insurance sector provides a durable competitive moat supported by enormous revenue diversification and a substantial cash position.

Key credit strengths include: (1) enormous revenue scale of \$447.6 billion providing business diversification, (2) substantial cash position of \$28.0 billion as of Q1 2026 representing 9.0% of total assets, and (3) improving operating margins rising from 4.24% in FY 2025 to 8.05% in Q1 2026. Key credit risks include: (1) elevated SG&A expenses consuming 13.3% to 13.8% of revenue with an upward trend, (2) significant quarterly earnings volatility as evidenced by diluted EPS ranging from \$2.59 to \$10.61 across recent quarters, and (3) high absolute levels of total liabilities at \$207.3 billion as of Q1 2026.

Company Overview

UnitedHealth Group Incorporated is a diversified healthcare company and the largest health insurer in the United States by revenue. The company operates across multiple segments of the healthcare value chain, providing health benefits coverage and health services delivery.

UnitedHealth Group's operational scale is evidenced by its FY 2025 revenues of \$447,567 million and Q1 2026 revenues of \$111,721 million, making it one of the largest companies by revenue in the United States and a dominant player in the healthcare insurance sector.

The company trades on the New York Stock Exchange under the ticker symbol UNH and is classified within the healthcare insurance sector. UnitedHealth Group's recent SEC filing activity includes an 8-K filed on May 11, 2026, a 10-Q filed on May 5, 2026, a Schedule 13G filed on April 30, 2026, a Form 4 filed on April 27, 2026, and a Form 144 filed on April 23, 2026. The 10-Q filing provides the latest quarterly financial data used in this credit assessment.

The company's business model generates revenue through insurance premiums and health services fees, with a cost structure that includes both direct medical costs captured in Cost of Goods and Services Sold and substantial administrative overhead captured in Selling, General and Administrative Expense. Understanding this dual cost structure is critical to assessing the company's credit profile.

Financial Performance Analysis

Revenue Performance: UnitedHealth Group reported FY 2025 revenues of \$447,567 million. For Q1 2026, revenues were \$111,721 million. Annualizing the Q1 2026 quarterly revenue produces a run-rate of approximately \$446,884 million, indicating relatively stable revenue performance year-over-year with minimal growth of approximately -0.2% on an annualized basis. This suggests the company may be entering a period of revenue stabilization following prior growth cycles.

Profitability Analysis - Operating Margin: For FY 2025, the operating margin was 4.24%, calculated as operating income of \$18,964 million divided by revenues of \$447,567 million. In Q1 2026, the operating margin improved significantly to 8.05%, calculated as operating income of \$8,990 million divided by revenues of \$111,721 million. This represents a substantial improvement of 381 basis points, suggesting potential operational efficiencies, favorable business mix shifts, or normalization from prior period pressures.

Profitability Analysis - Net Margin: The FY 2025 net margin was 2.69%, calculated as net income of \$12,056 million divided by revenues of \$447,567 million. Q1 2026 showed marked improvement with a net margin of 5.62%, calculated as net income of \$6,280 million divided by revenues of \$111,721 million. The doubling of net margin from FY 2025 to Q1 2026 is a strongly positive credit signal, indicating strengthening bottom-line performance.

Expense Structure Analysis: Cost of Goods and Services Sold for FY 2025 was \$50,655 million representing 11.3% of revenue. For Q1 2026, this expense was \$12,823 million representing 11.5% of revenue, showing relative stability. Selling, General and Administrative Expense was \$59,592 million for FY 2025 representing 13.3% of revenue and \$15,390 million for Q1 2026 representing 13.8% of revenue. The slight upward trend in SG&A as a percentage of revenue warrants monitoring as it could indicate scaling inefficiencies or increased investment in administrative infrastructure.

Balance Sheet and Liquidity Analysis

Asset Position: Total assets stood at \$309,581 million at FY 2025 year-end and grew to \$312,644 million in Q1 2026, representing a sequential increase of approximately 1.0%. The substantial asset base reflects the company's large-scale operations across healthcare insurance and health services. The asset growth was primarily driven by the increase in cash and cash equivalents.

Liabilities: Total liabilities were \$207,883 million at FY 2025 year-end and decreased marginally to \$207,325 million in Q1 2026, a reduction of \$558 million or 0.3%. This modest deleveraging combined with asset growth improved the company's net asset position. Total liabilities represent approximately 66.3% of total assets as of Q1 2026, indicating a moderately leveraged balance sheet.

Stockholders' Equity and Capital Structure: The provided financial data does not include current-period stockholders' equity figures for FY 2025 or Q1 2026. Historical equity data from 2014-2015 shows equity ranging from approximately \$31.9 billion to \$33.0 billion, but this historical data is not relevant to current credit analysis. This data limitation prevents the calculation of a current debt-to-equity ratio and represents a gap in our analysis that should be addressed through additional due diligence before the credit committee makes a final decision.

Liquidity Position: Cash and cash equivalents stood at \$24,365 million at FY 2025 year-end and increased significantly to \$28,001 million in Q1 2026, representing a 14.9% increase of \$3,636 million. Cash represents approximately 9.0% of total assets as of Q1 2026. The cash-to-total-liabilities ratio was 13.5% calculated as \$28,001 million divided by \$207,325 million, providing a meaningful liquidity buffer. The improving cash position combined with strong operating income generation suggests adequate near-term liquidity to service debt obligations and fund ongoing operations.

Earnings Quality and Per-Share Metrics

Diluted Earnings Per Share: UnitedHealth Group reported diluted EPS of \$13.23 for FY 2025. For Q1 2026, diluted EPS was \$6.90. The Q1 2026 figure represents 52.2% of the full-year FY 2025 EPS, suggesting that the first quarter of 2026 is on pace to significantly exceed the prior year's annual earnings performance if the trend continues.

Quarterly EPS Trajectory: The quarterly data reveals significant earnings volatility. Q2 2025 diluted EPS was \$10.61, Q3 2025 diluted EPS was \$2.59, and Q1 2026 diluted EPS was \$6.90. The Q3 2025 figure of \$2.59 represents a notable trough, while the Q2 2025 figure of \$10.61 represents a peak. This range between the lowest and highest quarterly EPS figures signals meaningful earnings volatility that may reflect seasonal patterns, one-time items, or operational variability.

Earnings Quality Implications: The improving trajectory from Q3 2025 (\$2.59) to Q1 2026 (\$6.90) is a positive credit signal suggesting recovery from the Q3 2025 trough. However, the significant variation across quarters indicates that quarterly earnings are not a reliable predictor of annual performance. This volatility should be incorporated into covenant design, with financial

covenants tested on a trailing twelve-month basis rather than quarterly to avoid triggering on seasonal troughs.

Key Credit Risks

Risk 1 - Elevated and Rising SG&A Expense Ratio: Selling, General and Administrative Expense consumed 13.3% of revenue in FY 2025 and increased to 13.8% in Q1 2026. This upward trend of approximately 50 basis points in administrative costs relative to revenue could pressure future profitability if not managed effectively. The SG&A expense ratio is a key metric for monitoring operational efficiency, and continued deterioration would be a negative credit signal.

Risk 2 - Quarterly Earnings Volatility: The diluted EPS ranged from \$2.59 in Q3 2025 to \$10.61 in Q2 2025, indicating significant quarterly volatility. This substantial range between peak and trough quarters could signal exposure to one-time items, seasonal factors, or operational challenges. Earnings volatility creates uncertainty around debt service capacity in any given quarter, necessitating covenant structures that test on a trailing basis.

Risk 3 - High Absolute Liability Levels: Total liabilities of \$207.3 billion as of Q1 2026 represent a substantial financial obligation relative to the company's equity base. While offset by significant assets of \$312.6 billion, the absolute size of liabilities creates refinancing risk and sensitivity to interest rate movements. The liabilities-to-assets ratio of approximately 66.3% indicates a moderately leveraged capital structure.

Risk 4 - Data Limitations for Capital Structure Assessment: The provided financial data does not include current-period stockholders' equity figures for FY 2025 or Q1 2026, limiting our ability to fully assess capital structure, calculate debt-to-equity ratios, or evaluate equity cushion adequacy. This data gap represents an information risk that must be addressed through additional due diligence including review of the full 10-K and 10-Q filings before the credit committee can make a fully informed decision.

Recommendation and Covenant Suggestions

Credit Recommendation: Based on the analysis presented in this memorandum, we recommend **APPROVE WITH CONDITIONS** for the proposed expansion of UnitedHealth Group's revolving credit facility. The conditions should include specific financial covenants tied to profitability and liquidity metrics, enhanced financial reporting requirements, and completion of additional due diligence on the company's capital structure.

Justification: The recommendation reflects UnitedHealth Group's (1) dominant market position with FY 2025 revenues of \$447,567 million, (2) improving profitability trajectory with operating margin increasing from 4.24% in FY 2025 to 8.05% in Q1 2026 and net margin improving from 2.69% to 5.62%, (3) strong and growing liquidity position with cash increasing from \$24,365 million to \$28,001 million, and (4) manageable liability levels that decreased slightly from \$207,883 million to \$207,325 million. However, the quarterly earnings volatility and rising SG&A expenses necessitate covenant protections.

Suggested Covenant 1 - Minimum Operating Margin: Require maintenance of an operating margin of at least 4.0% on a trailing four-quarter basis. This covenant is calibrated to the FY 2025 operating margin of 4.24% and provides a small buffer below the current level. The improving Q1 2026 margin of 8.05% provides substantial headroom. Testing on a trailing four-quarter basis accounts for the observed quarterly volatility in earnings.

Suggested Covenant 2 - Minimum Liquidity: Require maintenance of unrestricted cash and cash equivalents of at least \$20 billion. This covenant is based on the current Q1 2026 cash position of \$28,001 million, providing approximately 29% headroom. The covenant ensures the company maintains adequate liquidity to service debt obligations and fund operations during periods of earnings volatility.

Additional Consideration: A maximum SG&A-to-revenue ratio covenant not to exceed 15.0% of revenue on a trailing four-quarter basis should also be considered given the observed upward trend in administrative costs from 13.3% to 13.8% of revenue.